

INTERNATIONAL RELATIONS



INDIA-JAPAN - 2

MODULE - 40

ECONOMIC

- 1 India's rapidly growing economy and the new economic opportunities created have caught the attention of the Japanese corporate sector
- 2 Japan has scarce labor but abundant capital. India, on the other hand, has rich human capital and needs capital for its development.
- 3 India has rich mineral resources and Japan has the technological capability to use resources and manufacture goods. India possess expertise in development of software technology whereas Japan excels in hardware technology. Japanese technology will be important for technological development of India.

Japanese companies in India



ECONOMIC

- 4 Japan has always been keen on investing in the Indian companies- majority of investments is in machinery, automobiles and auto parts. 57 Japanese companies announced to make investments in India worth US\$ 2.5 billion and 15 Indian companies announced to make investments in Japan.
- 5 Exchange of Notes concerning the provision of seven Yen loan projects including the Project for the Construction of MAHSR (total loan provision of up to 316.458 billion yen).
- 6 During Prime Minister Modi's visit to Japan in September 2014, both the leaders agreed to set a common goal of doubling Japan's direct investment and the number of Japanese companies in India by 2019, in order to build a win-win relationship through synergies between Modinomics and Abenomics.



ECONOMIC

FINANCIAL ASSISTANCE

- 1 Japan has been extending bilateral loan and grant assistance to India since 1958 and is the largest bilateral donor for India.
- 2 PM Abe invested 3.5 trillion yen into India including Overseas Development Assistance (ODA) to India. It is under the Japan International Cooperation Agency (JICA).
- 3 Japanese ODA supports India's efforts for accelerated economic development particularly in priority areas like power, transportation, environmental projects and projects related to basic human needs.



ECONOMIC

EASE OF DOING BUSINESS

- 1 Japan expects India for improving the business environment, including the easing of regulations and the stabilisation of the system.
- 2 India established the “Japan Plus” office in the Ministry of Commerce and Industry in October 2014 as a “one-stop” solution for resolving problems faced by Japanese companies.
- 3 Prime Minister Abe requested India’s early decision on introducing special incentive packages in Japanese industrial townships in December 2015 and November 2016
- 4 Japan has multi-product SEZ and custom free and warehousing zone leading to greater economic integration in Asia.



COMPREHENSIVE ECONOMIC PARTNERSHIP AGREEMENT

ECONOMIC

In 2011, India and Japan signed CEPA to accelerate business activities and eliminate tariffs.

BENEFITS

- 1 CEPA would abolish import duties on most products.
- 2 increase access for Indian professionals and contractual service suppliers to the Japanese market
- 3 liberalise investment rules.
- 4 bring immediate gains to exporters of textiles, seafood and spices to Japan as duties on these products would be eliminated. The Indian textile industry is a major gainer as Japan has tariffs as high as 15% on the item compared to its average import tariff of below 5%.



COMPREHENSIVE ECONOMIC PARTNERSHIP AGREEMENT

ECONOMIC

BENEFITS

- 5 Removal of duties on almost 90% of products traded between the two countries.
- 6 Lower duties for agricultural products such as mangoes, citrus fruit, spices, instant tea, most spirits, petrochemical & chemical products, cement and jewellery.
- 7 boost trade to \$25 billion by 2014 from \$10.36 billion in 2009-10.
- 8 India has agreed to reduce tariffs on auto parts made of steel, which is a major gain for the Japanese industry.
- 9 Japan will also be able to export consumer durables, such as electronics cheaper, to India, but tariff reduction by India will happen in phases over 10 years.



ECONOMIC

BILATERAL TRADE

- 1 Japan is regarded as a key partner in India's economic transformation.
- 2 Japan's bilateral trade with India, totaled US\$ 17.63 billion in FY 2018-19.
- 3 India's primary exports to Japan have been petroleum products, chemicals, elements, compounds, non-metallic mineral ware, fish & fish preparations, metalliferous ores & scrap, clothing & accessories, iron & steel products, textile yarn, fabrics and machinery etc.

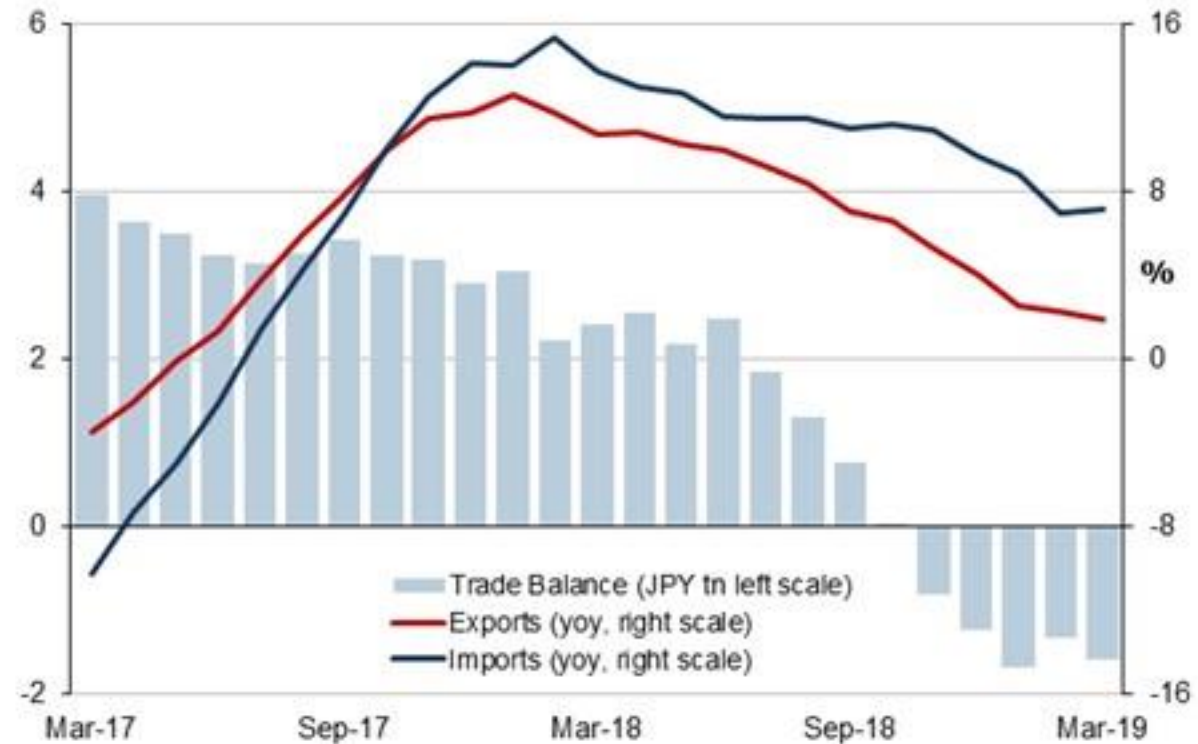


ECONOMIC

BILATERAL TRADE

4 India's primary imports from Japan are machinery, electrical machinery, iron and steel products, plastic materials, non-ferrous metals, parts of motor vehicles, organic chemicals, manufactures of metals, etc.

5 Japanese FDI into India has mainly been in automobile, electrical equipment, telecommunications, chemical, financial (insurance) and pharmaceutical sectors. Japanese FDI during FY 2018-19 was US\$ 2.96 billion



ECONOMIC

START-UPS

- 1 India and Japan are jointly launching a fund-of-funds of \$187 million (Rs 1,298 crore) to invest in technology startups in India.
- 2 US\$150 million of the targeted corpus will be raised from Japanese investors and the remaining will be raised from Indian investors.
- 3 The objective is to strengthen the Indian & Japanese tech startup ecosystem.
- 4 Meity Startup Hub aims to support Japanese tech-startups in India by providing a soft landing sector-specific tech. incubation platforms for 6 months free of cost.



INFRASTRUCTURE

- 1 Japan to provide loan and aid for development of highways, roads, electricity, sewage, water supply in the Northeast that can complement India's connectivity long with BBIN and BIMSTEC.
- 2 India is the largest recipient of ODA from Japan. Delhi Metro is one of the most successful examples of Japanese cooperation through the utilisation of ODA.
- 3 Japan will cooperate on supporting strategic connectivity linking South Asia to Southeast Asia through the synergy between "Act East" policy and "Partnership for Quality Infrastructure."



INFRASTRUCTURE

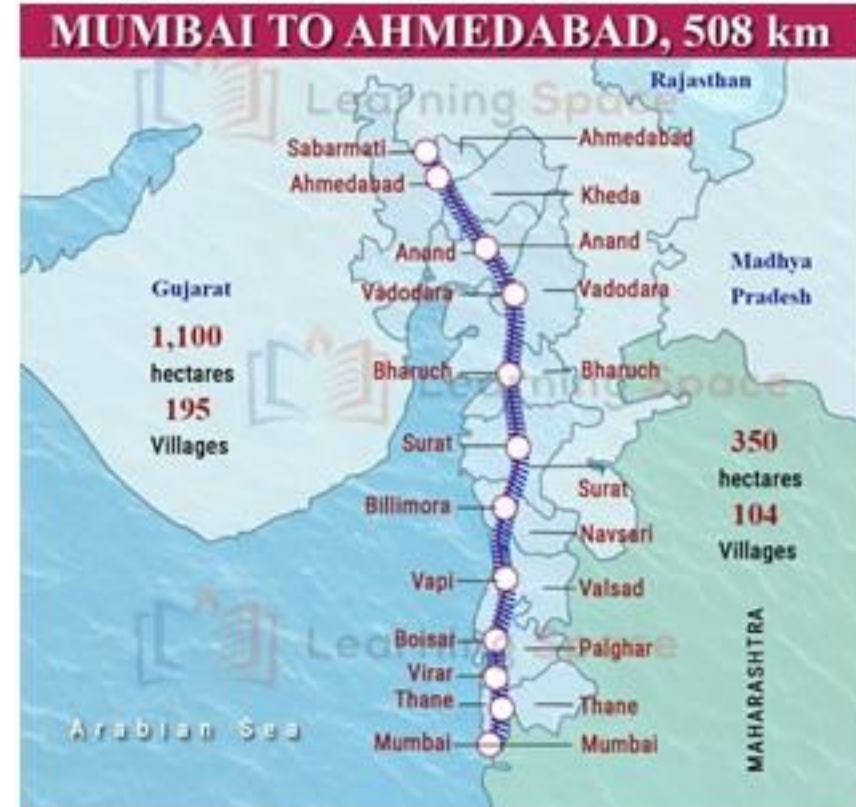
- 4 The upcoming projects include Ahmedabad-Mumbai High Speed Railway, Western Dedicated Freight Corridor, Chennai-Bengaluru Industrial Corridor (CBIC), Strategic port facility in Chennai, strategic assets like highways and dams in Northeast Region.
- 5 Japan and India are bridging gaps and repaving roads in the Indo-Pacific to establish a giant corridor that will link India's northeast with Vietnam. This effort will merge two parallel initiatives — the New Delhi-led India-Myanmar-Thailand trilateral highway and the East-West Economic Corridor (EWEK) marshalled by Japan in partnership with Thailand, Laos and Vietnam.
- 6 Japan worked on the modernisation and expansion of conventional railway system in India.



INFRASTRUCTURE

MUMBAI-AHMEDABAD BULLET TRAIN PROJECT

- 1 India and Japan signed an agreement in 2015 to build a bullet line Mumbai and Ahmedabad using Japan's Shinkansen system.
- 2 It is the highest class of high-speed railways around the world in terms of safety and accuracy
- 3 The National High Speed Rail Corporation Limited (NHSRCL), the company that is executing India's first bullet train project



INFRASTRUCTURE

MUMBAI-AHMEDABAD BULLET TRAIN PROJECT

- 4 India is jointly working with Japan to make certain technical changes to the bullet trains so that the high-speed trains can handle extreme heat and high levels of pollution, to suit India's weather conditions
- 5 The Japanese International Cooperation Agency (JICA) is funding 81 per cent of the total project cost, through a loan.
- 6 The project is scheduled for completion by 2023.



MUMBAI-AHMEDABAD BULLET TRAIN PROJECT

CHALLENGES

- 1** Land acquisition hurdles remain a big concern. The acquisition of approximately 60% of the land (about 77% land in Gujarat, 80% in Dadar Nagar Haveli and 22% in Maharashtra) required for the project is complete along with relocating around 50% of underground and overhead public utilities.
- 2** Protests by landowners is further complicating the issue.
- 3** Project cost has also risen on account of the fluctuation in the Rupee-Yen conversion rate. While depreciation costs are covered under the agreement, conversion costs have not been accounted for.
- 4** There was an attempt to reduce costs by awarding bigger contracts to domestic contractors. But it was not successful as none of the domestic companies have the expertise or capacity to handle such contracts.



INFRASTRUCTURE

WESTERN DEDICATED FREIGHT CORRIDOR

- 1 The Western Dedicated Freight Corridor is a broad gauge freight corridor under construction in India by Indian Railways.
- 2 It will connect India's capital, Delhi, and its economic hub, Mumbai. This corridor will cover a distance of 1483 km and would be electrified with double line operation.
- 3 Japan International Cooperation Agency (JICA) will extend a Rs 6,000 crore loan to India for procuring 200 electric locomotives for Western Dedicated Freight Corridor (WDFC).
- 4 JICA is supporting the construction of civil and track works, electrification, including signalling and telecommunication system for WDFC between Delhi and Mumbai.



INFRASTRUCTURE

WESTERN DEDICATED FREIGHT CORRIDOR

- 5 JICA-assisted WDFC project aims to cope with the increase of freight transport demand in India, thereby promoting comprehensive regional economic development along the freight corridor.
- 6 The loan will also support the construction of a depot at Rewari, Haryana, for maintenance of the locomotives. The supplier of the locomotives is also expected to provide transfer of technology for indigenisation.
- 7 The DFC project will enhance freight capacity, making it a revolution for the industrial corridor".



CAPACITY BUILDING

MANUFACTURING

- 1 JIM and the Japanese Endowed Courses (JEC) in engineering colleges will be designated by Japanese companies in India, and this is a good example of cooperation between the public and private sectors.
- 2 In terms of human resource development in the manufacturing sector in India and contribute to “Make in India” and “Skill India” Initiatives, Japan announced its cooperation of training 30,000 Indian people in the Japan India Institute for Manufacturing (JIM), providing Japanese style manufacturing skills and practices.
- 3 In 2017, the first four JIMs started in the States of Gujarat, Karnataka, Rajasthan and Tamil Nadu, and the first JEC was established in the State of Andhra Pradesh.
- 4 These institutes are also expected to give more Indian students the ambition to study the Japanese language.



NORTHERN RAILWAYS

CAPACITY BUILDING

- 1 The Indian Railways is having extensive cooperation with Japan.
- 2 The projects on 'Capacity Development on Railway Safety' has been launched to share the best practices in area of safety.
- 3 Annually, 300 railway officers are being trained by the Japanese government on high speed rail.
- 4 A Memorandum of Cooperation on Railway Safety was signed between two countries in February, 2017 aimed at cooperation in rail safety particularly in welding, rail-inspection, track circuit and latest technology related to inspection technology of track and rolling stock maintenance.

- 5 Sixty Indian Railways officials are being trained in varied areas of safety in Japan after the first meeting of the Joint Coordination Committee for India-Japan project on capacity development on railway safety.



DIGITAL PARTNERSHIP

- 1 In October 2018, during the visit of PM Modi to Japan, “India-Japan Digital Partnership” (I-JDP) was launched.
- 2 It was in the background of synergies and complementarities between the two nations and new initiatives within the scope of cooperation in S&T/ICT, focusing more on “Digital ICT Technologies”.
- 3 In May 2018, both sides signed Joint Statement on Japan-India Startup Initiative setting up the first Startup Hub in Bangalore by JETRO to identify selected Indian start-ups for Japanese market and for potential Japanese investors.



DIGITAL PARTNERSHIP

4 Startup-India (under Invest India) and Japan Innovation Network (JIN) have signed a MoU on innovation collaboration with a focus on SDGs (Sustainable Development Goals) connecting two start-up eco-systems in June 2018.

5 At the 5th meeting of the JWG on ICT in India on 7 August 2018, both sides discussed cooperation in the field of cyber security, 5G telecommunication infrastructure, and human resource development in ICT sector in third countries.



SCIENCE & TECHNOLOGY

- 1** India and Japan signed the **Bilateral Science and Technological Cooperation Agreement** in 1985.
- 2** In **1993 India-Japan Science Council** was established to organise exchange programs and academic seminars.
- 3** About **560 Indian students** visited Japan from May 2015 to September 2017 under the Annual 'Japan-Asia Youth Exchange program in Science' known as **SAKURA Science**.
- 4** Institutional exchanges are growing in **R&D in emerging technologies** such as AI - MoU between IIT-Bombay and NEC; IIT-Hyderabad and RIKEN-AIP have been concluded.



SAKURA
SCIENCE

Exchange Program in Science

SPACE COOPERATION

- 1** ISRO and JAXA signed an MoU on 11 November 2016 to pursue future cooperative activities in the use and exploration of outer space exclusively for peaceful purposes.
- 2** ISRO and JAXA scientists are exploring the possibility of cooperation in realizing a joint satellite mission to explore moon.
- 3** The inaugural India-Japan Space Dialogue was held in Delhi on 8 March 2019 for enhancing bilateral cooperation in outer space and information exchange on the respective space policies.



HEALTHCARE

- 1 India's AYUSHMAN Bharat Program and Japan's AHWIN have been consulting with each other to identify projects of mutual interest
- 2 Both sides have subsequently concluded a Memorandum of Cooperation (MoC) in the field of Healthcare to build robust health care partnership.
- 3 During PM Modi's visit to Japan in October 2018, MOC between Kanagawa Prefecture and Ministry of AYUSH was signed to promote Ayurveda.



CULTURAL

- 1 During the visit of Prime Minister Modi to Japan in November 2016, the two Prime Ministers agreed to mark the year 2017 as the Year of Japan-India friendly exchanges to further enhance people-to-people exchanges between Japan and India.
- 2 The year 2017 also marks the 60th anniversary since the Cultural Agreement came into force in 1957.
- 3 Tokyo opened the Vivekananda Cultural Centre in September 2009 to offers classes on Yoga, Tabla, Bharatnatyam, Odissi, Bollywood dances and Hindi and Bengali languages.
- 4 On 18 June 2017, the Third International Day of Yoga was celebrated.



CULTURAL

- 5 Namaste India Festival is celebrated every year in Japan for the last 20 years.
- 6 Japan also supported the reconstruction of Nalanda University.
- 7 Hinduism has had a significant role in the formation of Japanese culture. Many Hindu deities are worshipped in Japan under different names Benzaiten (Saraswati), Bishamon (Kubera), Daikoku (Shiva).



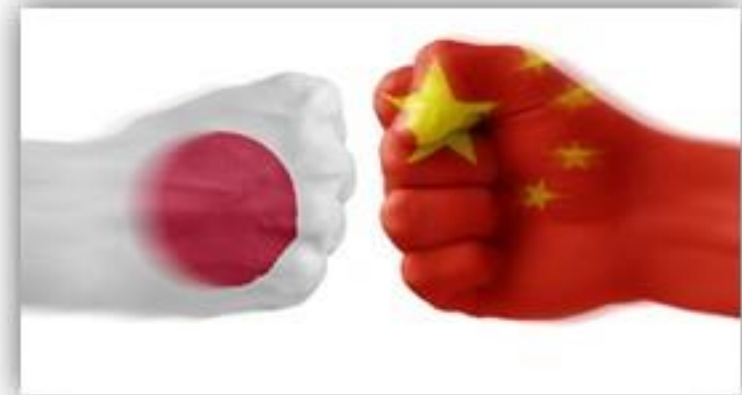
PEOPLE-TO-PEOPLE EXCHANGES

- 1 2017 was regarded as the Year of Japan-India Friendly Exchanges to enhance people - to - people exchanges between India and Japan.
- 2 India announced 'visa-on-arrival' scheme for all Japanese Business travelers to India including for business purposes.
- 3 In recent years, a large number of professionals, including IT professionals and engineers as well as professionals in management, finance, education, and S&T research working for Indian and Japanese firms in Japan
- 4 In 2014, Kyoto-Kashi sister city agreement was signed.
- 5 Under this a roadmap for making Kashi a 'smart city' was listed retaining its rich culture and tradition.



WAY FORWARD

- 1 As Japan reformulates its foreign policy in the quest to assume a greater leadership role in Asia, it finds it shares an unprecedented convergence in interests, values and strategies with a rising India that is eager to “Look East” and integrate itself into Asia and Asian institutions.
- 2 India is trying to establish itself as a global leader and faces tough competition from China.
- 3 Japan has long standing disputes with China and its interests converge well with India.



WAY FORWARD

4 Initiatives like Quadrilateral Alliance, Malabar exercise and infrastructural assistance to India has gathered world attention.

5 Better relations with India will serve Japan well in the long-term as it seeks to reassert its leadership in Asia, while a strategic partnership with Japan will increase the chances of India's integration into the Asian political equation.



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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588